

Investor Communications*

The value of investor communications is a subject of considerable controversy. Some executives, practitioners, and academics argue that actively handling relations with investors is a waste of management time and has no effect on a company's share price. Others have unrealistic expectations, assuming that you can talk up your company's stock and, if your investor relations staff is really sharp, it can tell you why the share price went down by 1.2 percent yesterday.

We fall somewhere in between. It's virtually impossible to interpret short-term price movements with any useful insights. And even if you could talk up your share price beyond its intrinsic value, you probably shouldn't. Nevertheless, good investor communications can ensure that your share price doesn't get out of line with its intrinsic value, can build a base of loyal investors, and can ensure that executives don't make poor strategic decisions based on misunderstanding what investors are saying to them. Too often, however, executives don't know how to interpret what they are hearing from investors, because they are listening to the wrong investors.

The point of good investor communications is to build relationships with the right kinds of investors and communicate with them at their level. It also entails being selective about which sell-side analysts to focus on, not being overly concerned with investors who have a short-term orientation, and not being overly occupied with media coverage of your company. Finally, it's as much about executives listening to the right investors as it is about delivering the company's message to investors.

This chapter also deals with two questions linked to investor communications. First, should companies provide earnings guidance? There is no evidence that companies benefit from the practice. Similarly, should companies

*This chapter draws heavily on research by Robert Palter and Werner Rehm and their article with Jonathan Shih, "Communicating with the Right Investors," *McKinsey on Finance* (Spring 2008): 1–4.

be concerned about meeting or beating consensus earnings forecasts? Again, the evidence shows that performance—return on invested capital (ROIC) and growth—is more important than whether a company meets the consensus earnings forecast.

OBJECTIVES OF INVESTOR COMMUNICATIONS

Good investor communications must be founded on the right objectives. Achieving the highest-possible share price is not one of them. Instead, the overriding objective of investor communications should be to align a company's share price with management's perspective on the intrinsic value of the company.

When a gap forms between a company's market value and its intrinsic value, all the company's stakeholders are put at a disadvantage. If the share price rises too high and exceeds the company's intrinsic value, the company's real performance will eventually become evident to the market, and the price will fall. When that decline occurs, employee morale will suffer, and management will have to face a concerned board of directors who may not understand why the price is falling so far and so fast. A share price that's too high may also encourage managers to keep it high by adopting short-term tactics, such as deferring investments or maintenance costs, which will hamper value creation in the long run. Conversely, a share price that is too low has additional drawbacks, especially the threat of takeover or attack by an activist investor. Furthermore, an undervalued stock makes paying for acquisitions with shares an unattractive option and may demoralize managers and employees.

A second objective of investor communications is to develop support from a group of sophisticated intrinsic investors who thoroughly understand the company's strategies, strengths, and weaknesses—and who can better distinguish between the shorter and longer term. These investors will also be likely to purchase shares on short-term dips in the share price.

A final objective is to learn what your investors like and don't like about your company as an investment. Here it is important to focus on the sophisticated longer-term investors who own your shares or investors who follow you but don't own your shares. Investors have many different investing strategies. Some will be focused on the short term. It is important to separate the concerns of the shorter-term investors from those of the long-term investors. You probably can't please them all, so priority should be given to the views of longer-term investors. These investors can also be a source of intelligence about your customers, competitors, and suppliers. The best investors will be talking regularly with these groups and may give senior management information that is more objective than the results of the company's own research efforts.

INTRINSIC VALUE vs. MARKET VALUE

Senior executives often claim that the stock market undervalues or “doesn’t appreciate” their company. They say this not just in public, where you would expect them to, but also in private. They truly believe that if only they had different investors, or if only the investors or analysts understood their company better, the company’s share price would be higher. Yet often these senior executives have not performed an objective outside-in valuation of their company, viewing it through the lens of a sophisticated investor. Their optimistic belief is based on a superficial comparison of price-to-earnings ratios (P/Es) or a stray comment by an analyst that the shares are undervalued.

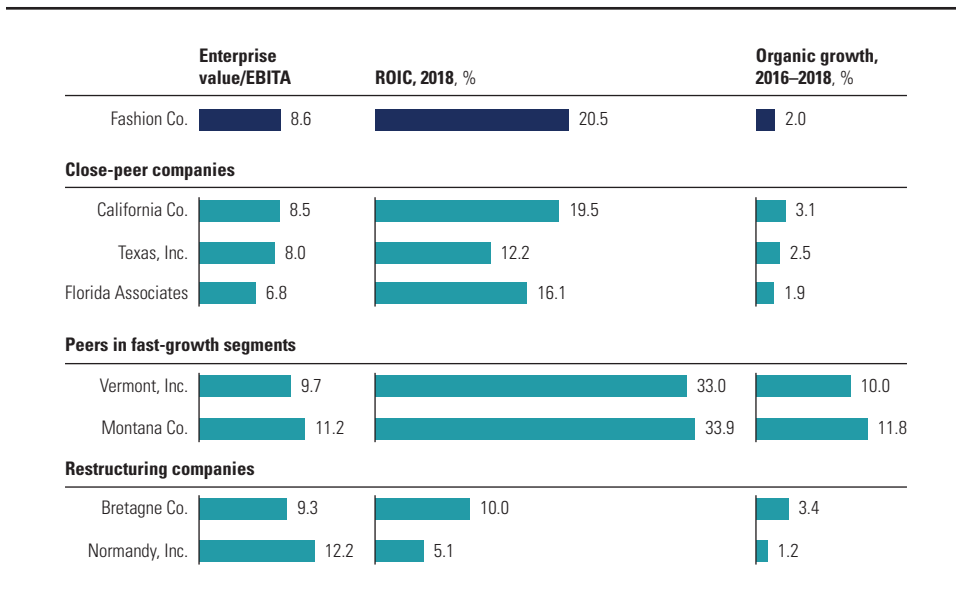
Any good strategy must begin with an honest assessment of the situation, and a plan for investor communications is no different. It should start with an estimate of the size of the gap, if any, between management’s view of the company’s intrinsic value and the stock market value. In practice, we typically find that no significant gap exists or that any gap can be explained by the company’s historical performance relative to peers or by the way the market is valuing the entire industry. Let’s illustrate with a disguised example.

A large apparel manufacturer we’ll call Fashion Co. earns a return on invested capital (ROIC) of about 20 percent, but its product lines are in slow-growth segments, so its revenue growth has been low. Fashion Co. recently adopted a strategy to buy small companies in faster-growing areas of the industry with higher ROIC, intending to apply its manufacturing and distribution skills to improve the performance of the acquired companies. Currently, 18 months since the company made its first acquisitions under this strategy, Fashion Co. derives 5 percent of its revenues from the fast-growth segments.

Fashion Co.’s managers were concerned that the company’s P/E trailed the P/Es of many companies with which it compared itself. They wondered whether the low value resulted from such factors as the company’s old-fashioned name or the small number of analysts covering the industry.

We began analyzing the apparent discrepancy by assessing Fashion Co.’s value relative to companies it considered peers. Some of the supposed peers were 100 percent involved in the fast-growth segments, far exceeding Fashion Co.’s 5 percent revenue stream from them. When we segmented Fashion Co.’s peers by growth rates, we found that its earnings multiple—enterprise value divided by earnings before interest, taxes, and amortization (EBITA)—was in line with those of its close peers but behind those of the companies in the fast-growing segment (see Exhibit 34.1). Fashion Co. and its closest peers also had lower ROIC than the fast-growth companies. A third set of companies, also shown in Exhibit 34.1, had high multiples because of current low earnings due to restructuring. So based on recent performance, Fashion Co.’s value was aligned with its performance relative to its closest peers.

EXHIBIT 34.1 Fashion Co.: Valuation in Line with Close Peers



Next, we reverse engineered the share price of Fashion Co. and its peers by building a discounted-cash-flow (DCF) model for each company and estimating what levels of future performance would be consistent with the current share price. We found that if Fashion Co. increased its revenues at 2 percent per year and maintained its most recent level of margins and capital turnover, its DCF value would equal its current share price. This growth rate was in line with the implicit growth of its closest peers and lower than the companies in the fast-growing segment.

WHICH INVESTORS MATTER?

Does it matter who your investors are? It is not clear whether one investor base is better than another in the sense of helping to align the share price with a company's intrinsic value. But understanding a company's investor base can give managers insights that might help them anticipate how the market will react to important events and strategic actions, as well as help managers improve the effectiveness and efficiency of their investor relations activities.

One way to begin seeking an answer to this question is by acknowledging that retail investors do not qualify for consideration in our examination. The reason is that they rarely matter when it comes to influencing a company's share price. Despite collectively holding around 30 to 40 percent of U.S. equity, they do not move prices, because they do not trade very much. The real drivers of share prices are institutional investors, who manage hedge funds, mutual funds, or pension funds and can hold significant positions in individual companies.

That said, we do not get much help from the common approaches to understanding institutional investors. For example, sometimes investors are labeled as growth or value investors, depending on the type of stocks or indexes they invest in. Most growth and value indexes, like that of Standard & Poor's, use price-to-earnings (P/E) or market-to-book ratios to categorize companies as either value or growth: companies with high P/E and market-to-book ratios are labeled growth companies, and those with low P/E and market-to-book ratios are value companies. However, growth is only one factor driving differences in P/E and market-to-book ratios. In fact, as we discuss in more detail in Chapter 7, we have found no difference in the distribution of growth rates between so-called value and growth stocks.¹ As you might expect, differences in market-to-book ratios derive mainly from differences in return on capital. The median return on capital for so-called value companies was 15 percent, compared with 35 percent for the growth companies. So the companies whose shares were classified as growth stocks did not grow faster, but they did have higher returns on capital. That's why a modestly growing company, like the high-ROIC consumer packaged-goods company Clorox, ends up on the growth-stock list.

Many executives mistakenly believe they can increase their share price (and valuation multiple) by better marketing their shares to growth investors, because growth investors tend to own shares with higher valuation multiples. But the causality runs in reverse: in our analysis of companies whose stock prices have recently increased enough to shift them from the value classification to the growth classification, what precipitated the rise in their market value was clearly not an influx of growth investors. Rather, growth investors responded to higher multiples, moving into the stock only after the share price had already risen.

Investor Segmentation by Strategy

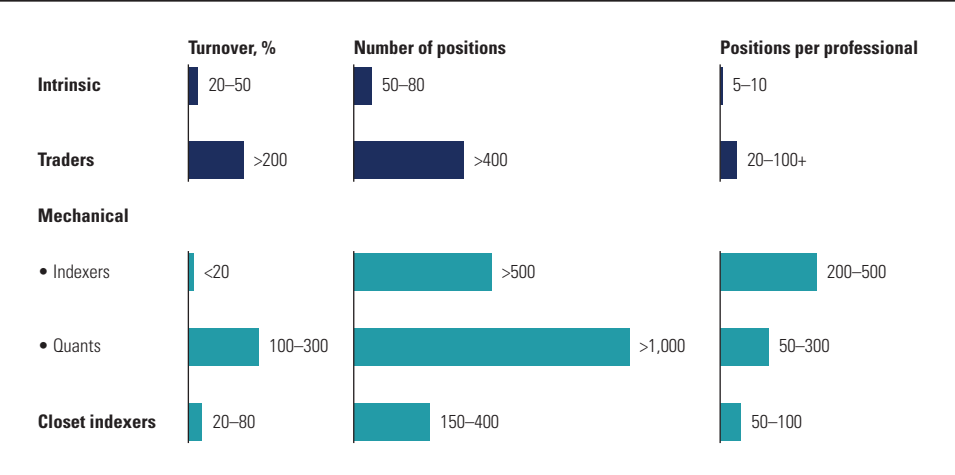
A more useful way to categorize and understand investors is to classify them by their investment strategy. Do they develop a view on the value of a company, or do they look for short-term price movements? Do they conduct extensive research and make a few big bets, or do they make lots of small bets with less information? Do they build their portfolios from the bottom up, or do they mirror an index?

Using this approach, we classify institutional investors into four types: intrinsic investors, traders, mechanical investors, and closet indexers.² These groups differ in their investment objectives and the way they build their portfolios. As a result, their portfolios vary along several important dimensions, including turnover rate, positions held, and the number of positions held per investment professional (see Exhibit 34.2).

¹ See T. Koller and B. Jiang, "The Truth about Growth and Value Stocks," *McKinsey on Finance*, no. 22 (Winter 2007): 12–15.

² Palter et al., "Communicating with the Right Investors."

EXHIBIT 34.2 Investors Segmented by Investment Strategies



Intrinsic investors take positions only after undertaking rigorous due diligence of a company’s inherent ability to create long-term value. This scrutiny typically takes more than a month. The depth of the intrinsic investor’s research is evidenced by the fact that such investors typically hold fewer than 80 stocks at any time, and their investment professionals manage only a few positions each, usually between five and ten. Portfolio turnover is low, as intrinsic investors typically accept that price-to-value discrepancies may persist for up to three or four years before disappearing. We estimate that these investors hold around 20 to 25 percent of institutional U.S. equity and contribute 10 percent of the trading volume in the U.S. stock market.

Examples of intrinsic investors include the William Blair Growth Fund. In June 2019, it held shares in 57 companies and had a turnover rate of 38 percent. From the hedge fund world, Pzena and Hermes Capital are good examples of intrinsic investors. One prominent hedge fund manager, Lee Ainslie of Maverick Capital, is proud that Maverick holds only five positions per investment professional, and many of his staff members have followed a single industry for ten years or more.³

Traders seek profits by betting on short-term movements in share prices, typically based on announcements about the company or technical factors, like the momentum of the company’s share price. The typical investment professional in this segment has 20 or more positions to follow and trades in and out of them quickly to capture small gains over short periods—as short as a few days or even hours. We estimate that traders own about 35 to 40 percent of institutional equity holdings in the United States.

³ R. Dobbs and T. Koller, “Inside a Hedge Fund: An Interview with the Managing Partner of Maverick Capital,” *McKinsey on Finance*, no. 19 (Spring 2006): 6–11.

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Traders don't need to develop a point of view on a company's intrinsic value, just on whether its shares will go up or down in the very short term. For example, traders may develop a view that a drug company is about to announce good news about a product trial that will boost the company's share price. The trader would buy the shares, wait for the announcement and the subsequent rise in the share price, and then immediately unwind the position. Some traders are in and out of the same stock many times during the year. This does not mean that traders don't understand the companies or industries they invest in; on the contrary, they follow the news about these companies closely and often approach companies directly, seeking nuances or insights that could matter greatly in the short term. However, they don't take a view on companies' long-term strategies and business performance.

Mechanical investors control about 25 to 30 percent of institutional equity in the United States. They make decisions based on strict criteria or rules. Index funds are the prototypical mechanical investor, merely building their portfolios by matching the composition of an index such as the S&P 500. Another group of mechanical investors are the so-called quantitative investors, who use mathematical models to build their portfolios and make no qualitative judgments on a company's intrinsic value.

Finally, *closet indexers*, although they are promoted as active managers, have portfolios that look like an index. Basing their portfolio on an index and making some adjustments, they hold a great many stocks and don't have the time and resources to do in-depth research on them.⁴ By contrast, intrinsic investors know every company in their portfolios in depth and build their portfolios from scratch, without taking their cue from any index.

The extent to which an investment fund might be considered a closet indexer is now measured, and often published, using a metric called active share. Active share is a measure of how much an investment portfolio differs from its benchmark index, based on a scale of 0 percent (complete overlap with the index) to 100 percent (no overlap). An index fund would have an active share of 0 percent. Funds with active shares below 60 percent are often considered closet indexers. For example, while the William Blair Growth Fund, mentioned earlier as an intrinsic investor, typically has an active share above 70 percent, Putnam Investors Fund typically has an active share of about 40 percent. Antti Petajisto, a researcher and fund manager who taught at the Yale School of Management, has estimated that the percentage of funds that might be considered closet indexers increased from 1 percent in 1980 to almost 30 percent in 2009.⁵

⁴ For more on closet index funds, see M. Cremers and A. Petajisto, "How Active Is Your Fund Manager? A New Measure That Predicts Performance" (paper presented at American Finance Association 2007 Chicago Meetings, January 15, 2007); and E. Khusainova and J. Mier, *Taking a Closer Look at Active Share*, Lazard Asset Management, September 2017, www.lazardassetmanagement.com.

⁵ A. Petajisto, "Active Share and Mutual Fund Performance," December 2010, available at SSRN: <http://ssrn.com/abstract=1685942> or <http://dx.doi.org/10.2139/ssrn.1685942>.

Targeting Communications by Segment

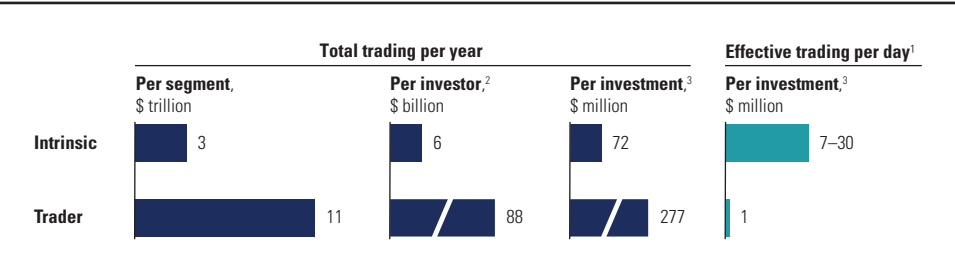
Which of these investors matter most for the stock price? Analyzing the trading behavior of all four investor groups in more detail, we find support for the idea that intrinsic investors are the ultimate drivers of share prices over the long term.

Exhibit 34.3 helps make the case, setting aside the inherently short-term-focused mechanical investors and closet indexers. At face value, traders might seem to be the most likely candidates for influencing share price in the market. They own 35 to 40 percent of the institutional U.S. equity base, and as the first two columns show, they trade much more than intrinsic investors. Their overall transaction volume is made up of many more trades—of which many are trades in the same stock within relatively short time periods. The average trader fund bought and sold over \$80 billion worth of shares in 2006, more than 12 times the amount traded by the typical intrinsic investor. Similarly, as shown in the third column, the typical trader also buys or sells around \$277 million in each equity stock he or she holds—far more per stock than the average intrinsic investor.

But the last column in the exhibit, which shows the value of effective daily trading per investment on the days that an investor traded at all, is the figure that discloses the real impact of each investor group on share prices in the market. Effective daily trading is higher by far among intrinsic investors: *when* intrinsic investors trade, they buy or sell in much larger quantities than traders do. Although they trade much less frequently than the traders group, they hold much larger percentages of the companies in their portfolios, so when they do trade, they can move the prices of these companies’ shares. Ultimately, therefore, intrinsic investors are the most important investor group for setting prices in the market over the longer term.

As a result, companies should focus their investor communications effort on intrinsic investors. If intrinsic investors’ view of the value of your company is consistent with your own view, the market as a whole is likely to value

EXHIBIT 34.3 Intrinsic Investors Have Greatest Impact on Share Price



¹ Trading activity in segment per day that trade is made.

² Per investor in segment.

³ Per investor in segment per investment.

Source: R. Palter, W. Rehm, and J. Shih, “Communicating with the Right Investors,” *McKinsey on Finance*, no. 27 (Spring 2008): 1–5.

your company as you do, because of the role intrinsic investors play in driving share prices. Their understanding of long-term value creation also means they're more likely than other investors to hold on to a stock, supporting the management team through periods of short-term volatility (so long as they believe these periods do not reflect a material change in the underlying value of the company). These are the investors to whom you should listen when you want to understand what the market thinks of your company.

A conundrum for companies is how to treat closet indexers, because they may be some of a company's largest investors. Remember, a closet indexer is likely to have more than 200 different companies in his or her portfolio, and most of this investor's holdings are in proportion to the company's size in an index such as the S&P 500. Our first step is to examine whether the closet indexer is significantly over- or underweight in any company or industry. If the answer is yes, we move them to the intrinsic category with respect to that company or industry. If not, we keep the investor categorized with the closet indexers.

CEOs and CFOs have substantial demands on their time, and investors worry when they spend too much time with investors instead of running the company. Just as a CEO must decide which customers to spend time with, CEOs and CFOs must proactively decide which investors will get their time. Our investor segmentation makes it clear that CEOs and CFOs should focus their time on a small set of intrinsic investors, and delegate interactions with trading investors and closet indexers to their investor relations executives. In fact, one of the key roles of the investor relations department should be to determine analytically which investors CEOs and CFOs should develop relationships with, facilitate those relationships, and be the gatekeeper who handles low-priority investors on behalf of the CEO or CFO. The gatekeeper role may not be popular with investors, but it's essential.

Of course, CEOs and CFOs can't ignore the sell-side analysts, whose role has changed over time. Their job is to support their clients, and their most important clients are those who generate the most trading commissions—the trading-oriented investors. Many sophisticated trading (and intrinsic) investors are less concerned about whether the analyst has issued a buy or a hold on a stock (sell recommendations are almost nonexistent), preferring up-to-date news about the company. Hence, sell-side analysts tend to focus on short-term events and near-term earnings so they can be first to pass the news to their clients.

This said, there are often one to three sell-side analysts with deep understanding of the industry dynamics and the company's strategies, opportunities, and risks. These sell-side analysts resemble intrinsic investors in their approach. The logical way to treat sell-side analysts is to segment them into those whose interests and approach tend to mimic trading investors and those whose approach mimics intrinsic investors, and then to pay more attention to the latter segment.

COMMUNICATING WITH INTRINSIC INVESTORS

Intrinsic investors are sophisticated and have spent considerable effort to understand your business. They want transparency about results, management's candid assessment of the company's performance, and insightful guidance about the company's targets and strategies. Their role in determining stock prices makes it worth management's time to address intrinsic investors' desire for clear, well-informed communication.

What Investors Want

In 2015, McKinsey and the Aspen Institute Business and Society Program surveyed and interviewed intrinsic investors to find out what was important to them.⁶ One highlight from the survey was intrinsic investors' overwhelming support of companies' efforts to pursue long-term value, even at the expense of short-term earnings. A second highlight was that intrinsic investors expressed a desire for managers to provide what the investors called education about companies' strategies and the dynamics of their industries.

Intrinsic investors overwhelmingly favor decisions that lead to long-term value creation even at the expense of short-term earnings shortfalls. The McKinsey–Aspen survey presented an investment scenario in which a U.S.-based company that earns 70 percent of its revenues and profits abroad experienced a major decline in short-term profits because of a large shift in foreign-exchange rates. Respondents answered questions about their support for a range of potential management decisions. Out of 24 intrinsic investors, 19 said they would be neutral if the company took no action and simply reported lower profits, while nearly two-thirds said they would take a negative view of an order for across-the-board cost reductions. Intrinsic investors realize that companies can't control or predict exchange rates, and they don't want companies to cut costs arbitrarily to meet current earnings expectations if it might hurt the business later. Twenty-one out of 23 intrinsic investors negatively viewed accelerating cost cutting in the following year to keep earnings rising (assuming exchange rates stayed the same), if long-term revenues could be negatively affected. In subsequent interviews, some investors noted that this could lead to a downward spiral of shrinking investments and revenue growth. In another scenario, a new CEO decides to continue operating a legacy unit even though it is a money loser with no expectation of turning profitable. Seventeen out of 24 investors had a negative view of sustaining the unit to avoid recognizing the shutdown costs, while 20 were neutral or positive about the company shutting it down despite the one-time hit to earnings. Most favored an attempt to divest the unit in the CEO's first year on the job; the only dissenter worried that year 1 might be too soon.

⁶ This section is from R. Darr and T. Koller, "How to Build an Alliance against Corporate Short-Termism," *McKinsey on Finance*, no. 61 (2017): 2–9.

These investors said they favor companies with executive teams that are confident about telling their companies' stories in the way the teams see them, proactively choosing how, what, and when to communicate. Many of our survey panelists considered this approach the opposite of what many companies do today. To paraphrase one investor, "An exceptional CEO knows what I need to know and tries to persuade me of that. He or she doesn't try to guess what I want to hear."

Intrinsic investors expressed this as a desire for what they called education. One investor told us, "I just need to be educated. Help me understand your business and strategy. If I disagree, I don't have to invest." They want to know what a company's competitive advantages are and how its strategy builds on those advantages. They want to know what external and competitive forces a company faces. And they want to know what concrete actions, including talent management, the company is taking to realize its aspirations. They don't want sugarcoating, opacity, or "selling." They interpret overly elaborate presentations as suggesting a potential lack of substance.

Investors also said they want to learn how CEOs make decisions, whether a company's approach is aligned with long-term value creation, and whether the whole management team is singing from the same song sheet. This is not surprising, given that 23 out of 24 long-term investors taking the survey identified management credibility as one of the most important factors to consider in making investments. Management credibility includes both clarity of decision making and openness when not everything goes well. One investor put it this way: "There are always bumps in the road. You earn trust and respect by not trying to sugarcoat. That doesn't mean the stock price won't go down. But it will mean the recovery will be better because investors will have more confidence in managers who are level-headed and matter-of-fact." Said another investor, "I get them to talk about something other than what's in their pitch book. I want to know how they think. For example, what's their rationale for a particular decision that will increase value?" Another common theme, which is supported by research in behavioral psychology, is that managers would do well to ensure that the long term and its context are part of every investor engagement, especially when talking about short-term results. This approach starts with the long term as the wide lens on a business and then zooms in on the details as needed. As one investor said, "It's all about the horizon. Long-term investors don't need a lot of detailed guidance about quarterly numbers. They need clarity, consistency, and transparency from managers in communicating strategic priorities and their long-term expectations."

Benefits of Transparency

Many companies are reluctant to provide a detailed discussion of results, issues, and opportunities. Their rationale is that this kind of disclosure reduces their flexibility to manage reported profits or will reveal sensitive information

to competitors. In our experience, however, a company's competitors, customers, and suppliers already know more about any business than its managers might expect. For example, there's a cottage industry of photographers dedicated to searching for and publicizing new car models that automotive manufacturers have not yet formally acknowledged. In addition, a company's competitors will be talking regularly to the company's customers and suppliers, who won't hesitate to share information about the company whenever that's in their interest. Therefore, revealing details about yourself is unlikely to affect your company as adversely as you might expect. Managers should keep that in mind as they assess the competitive costs and benefits of greater transparency.

In some situations, companies might even be able to gain an advantage over their competitors by being more transparent. Suppose a company has developed a new technology, product, or manufacturing process that management feels sure will give the company a lead over competitors. Furthermore, managers believe competitors will be unable to copy the innovation. At a strategic level, disclosing the innovation might discourage competitors from even trying to compete, if they believe the company has too great a lead. From an investor's perspective, disclosure of the innovation could increase the company's share price relative to its competitors, thus making it more attractive to potential partners and key employees, as well as reducing the price of stock-based acquisitions.

Sophisticated investors build up their view of a company's overall value by summing the values of its discrete businesses. They're not much concerned with aggregate results: these are simply averages, providing little insight into how the company's individual businesses might be positioned for future growth and returns on invested capital. At many companies, management teams that desire a closer match between their company's market value and their own assessment might achieve this by disclosing more about the performances of their individual businesses.

Ideally, companies should provide an income statement for each business unit, down to the level of EBITA at least. They should also provide all operating items in the balance sheet—such as property, plant, and equipment (PP&E) and working capital—reconciled with the consolidated reported numbers. Even companies with a single line of business can improve their disclosures without giving away strategically sensitive information. In the period when it was growing quickly and before it was acquired by Amazon in 2017, Whole Foods Market, a U.S. natural-foods supermarket chain, provided investors with its ROIC numbers by age of store, as well as a detailed table explaining how it calculated its returns. Such openness gives investors deeper insights into the company's economic life cycle.

Concerning operational data, what to disclose depends on the key value drivers of a business or business unit. Ideally, these should be the metrics that management uses to make strategic or operational decisions. For example,

each quarter, the leading research and advisory firm Gartner discloses a narrow but highly relevant set of metrics for each of its three business units. As Gartner's CFO explains, the firm publishes only the most important of the metrics that management uses to examine the performance of the business. Similarly, companies in some industries, such as steel and airlines, regularly disclose volumes and average prices, as well as the use and cost of energy, which are the key drivers of value in these sectors. Home improvement retailer Lowe's provides helpful information about key value drivers such as the number of transactions and the average ticket size, as shown in Exhibit 34.4.

Choosing transparency can be difficult. Some companies that have preferred greater discretion hesitate to increase openness. These are often strong performers with good track records. Over many years, that performance record (frequently in the form of steady earnings increases) has provided leverage to rebuff investors' demands for more transparency. But it is the nature of every business's life cycle that growth will slow even after years of success as the business matures or markets become more competitive. At that juncture, the company needs new strategies to keep creating value for shareholders, and these changes should be communicated to investors; doing so ensures that the market share price continues to reflect the company's true worth.

In one situation, a large company didn't disclose that most of its profits came from aging, low-growth products with a large installed base, while its newer high-growth products were far less profitable due to competition and new technologies. In another case, a consumer products company kept its earnings growing by selectively reducing investments in advertising and promotion. Because both companies had long histories of success, any sudden disclosure of these changes would surely cause their stock prices to decline sharply; academic research suggests that when companies in these circumstances fall, they fall hard.⁷

EXHIBIT 34.4 **Lowe's: Operating Statistics and ROIC**

	2016	2017	2018
Comparable sales increase, %	4.2	4.0	2.4
Customer transactions, millions	945	953	941
Average ticket, \$	68.83	72.00	75.79
Number of stores	2,129	2,152	2,015
Sales floor square feet, millions	213	215	209
Average store size, selling square feet, thousands	100	100	104
Return on invested capital, %	15.8	18.8	12.8

Source: Company SEC filings.

⁷D. J. Skinner and R. G. Sloan, "Earnings Surprises, Growth Expectations, and Stock Returns, or Don't Let an Earnings Torpedo Sink Your Portfolio," *Review of Accounting Studies* 7 (2002): 289–312. See also J. N. Myers, L. A. Myers, and D. J. Skinner, "Earnings Momentum and Earnings Management" (working paper, August 2006), available at <http://ssrn.com/abstract=741244>.

Executives at such companies need to decide whether their current predicament will be short-lived or if the days of strong growth and high returns are, in fact, over. If the latter, the executives clearly need a quick transition plan. If the former, they need to assess whether they should practice greater transparency and accept the likely price volatility it will cause until they've returned to their growth path.

Legislation and accounting rules have been requiring ever-greater transparency. Even so, results that are transparent enough to meet today's regulatory requirements may fail to meet the standard of transparency that satisfies intrinsic investors. Companies within an industry typically start to disclose information more useful to such investors in response to the investors' explicit demands or the leadership of one or more industry pioneers. For example, the petroleum industry has for many years published detailed fact books that describe oil production and reserves by geography—key parameters that investors want to know when valuing petroleum companies. In pharmaceuticals, companies provide detailed information about their product pipelines at every stage of research and development. In these industries, any company that failed to disclose what others disclose would likely lose the market's trust.

In most industries, however, the level of disclosure and transparency has been less standardized, so management must choose how transparent it wants to be. In these cases, managers are too often cowed by fears that a detailed discussion of the issues and opportunities facing their company will reveal sensitive information to competitors or make it harder to put the best gloss on their results. One large global electronics company, for example, reports gross margins for both its product and services businesses. But nowhere does it provide operating margins for the different units—information that is crucial to helping investors value businesses with differing levels of expenditure on R&D and selling, general, and administrative costs. In another case, a U.S. media conglomerate provides detailed information by business unit on the income statement but leaves it to investors to sort out the balance sheet by business unit. Failing to report such information often gives investors the impression that management is trying to obscure some underlying performance issues.

LISTENING TO INVESTORS

The final element of effective investor communications is listening to investors. Listening to gain competitive intelligence is, of course, a no-lose proposition. But to what extent should executives be influenced by investors' opinions about what strategies the company should pursue (expressed either as opinions or by the nature of the questions the investors ask), particularly when those opinions run counter to what the senior executives believe is the best strategy for creating long-term value?

The answer lies again in the segmentation of the investors and the interpretation of investor input in light of the investors' own strategies. For example, trading investors, who tend to be the most vocal and frequent voices, base their trading strategies on *events*. So they prefer frequent announcements and short-term actions to create trading opportunities. Intrinsic investors, in contrast, are more concerned with longer-term strategic initiatives and the broader forces driving the company and industry. Segmenting investor input helps executives sort through the competing views. We typically find that when executives segment the input they receive from investors, the input from the intrinsic investors is most helpful.

In the end, though, executives have more information than investors about their company, its capabilities, opportunities, and threats. They need to be confident about their strategic choices and convey that confidence to investors. You can't expect to please all investors. You must do what's right for long-term value creation.

EARNINGS GUIDANCE

Many executives view the ritual of issuing guidance on their likely earnings per share (EPS) in the next quarter or year as a necessary, if sometimes onerous, part of communicating with financial markets. In a survey, we found that they saw three primary benefits of issuing earnings guidance: higher valuations, lower share price volatility, and improved liquidity. Yet several analysts found no evidence that those expected benefits materialize.⁸ Therefore, instead of EPS guidance, we believe executives should provide investors with the broader operational measures shaping company performance, such as volume targets, revenue targets, and initiatives to reduce costs.

No Payoff for Earnings Guidance

It's a myth that quarterly EPS guidance is necessary and that almost everyone does it. In 2002, Coca-Cola became one of the earliest large companies to stop issuing guidance. Its executives had concluded that providing short-term guidance prevented management from concentrating on strategic initiatives to build its businesses over the long term. Gary Fayard, CFO at that time, believed that, rather than indicating weak earnings, the move signaled a renewed focus on long-term goals. The market seemed to agree and did not react negatively: Coke's share price held steady.⁹ Since then, many other companies

⁸ P. Hsieh, T. Koller, and S. Rajan, "The Misguided Practice of Earnings Guidance," *McKinsey on Finance* (Spring 2006): 1–5; and A. Babcock and S. Williamson, *Moving beyond Quarterly Guidance: A Relic of the Past*, FCLTGlobal, October 2017, www.fcltglobal.org.

⁹ D. M. Katz, "Nothing but the Real Thing," *CFO*, March 2003, cfo.com.

have stopped providing guidance entirely or have shifted the focus of their guidance away from EPS and toward broader indicators of performance. In fact, in 2016, only 28 percent of S&P 500 companies provided quarterly EPS guidance, while 31 percent gave only annual guidance. Forty-one percent gave no EPS guidance.¹⁰ In Europe, the share of companies providing EPS guidance is much lower: only 4 percent of the Eurostoxx 300.

To test whether companies providing EPS guidance are rewarded with higher valuations, we compared the earnings multiples of companies that provided guidance with the multiples of those that did not, industry by industry. For most industries, the underlying distributions of the two sets of companies were statistically indistinguishable. Similar results were found by researchers at the Harvard Business School and KKS Advisors.¹¹

Companies that decide to begin offering guidance may hope the effort will boost total shareholder returns (TSR). Yet in the year companies begin to offer guidance, their TSR on average is no different from that of companies not offering guidance at all. Returns to shareholders are just as likely to be above the market as below the market in the year a company starts providing guidance.

On the issue of share price volatility, we found that when a company begins to issue earnings guidance, the likelihood of volatility in its share price increasing or decreasing is the same as it is for companies that don't issue guidance. Finally, we found that when companies begin issuing earnings guidance, they do indeed experience an increase in trading volumes relative to companies that don't provide it, as their management anticipates. However, the effect wears off the next year. The same results were found by the Harvard Business School researchers and KKS Advisors.¹²

When we asked executives about ceasing earnings guidance, many feared that their share price would decline and its volatility would increase. But when we analyzed 126 companies that had discontinued issuing guidance, we found they were just about as likely as the rest of the market to see higher or lower shareholder returns. Of the 126 companies, 58 had higher returns than the overall market in the year they stopped issuing guidance, and 68 had lower returns. Furthermore, our analysis showed that the lower-than-market returns of companies that discontinued guidance resulted from poor underlying performance, not from the act of ending guidance. For example, two-thirds of the companies that halted guidance and experienced lower returns on capital saw lower TSR than the market. For companies that increased ROIC, only about one-third had delivered lower TSR than the market.

Our conclusion was that issuing guidance offers companies and investors no real benefits. On the contrary, it can trigger real costs and unfortunate unintended consequences. The difficulty of predicting earnings accurately, for

¹⁰ Babcock and Williamson, *Moving beyond Quarterly Guidance*.

¹¹ Babcock and Williamson, *Moving beyond Quarterly Guidance*.

¹² Babcock and Williamson, *Moving beyond Quarterly Guidance*.

example, frequently causes management teams to endure the painful experience of missing quarterly forecasts. That, in turn, can be a powerful incentive for management to focus excessive attention on the short term, at the expense of longer-term investments, and to manage earnings inappropriately from quarter to quarter to create the illusion of stability. Moreover, our research with intrinsic investors indicates that they realize that earnings are inherently unpredictable. Consequently, they prefer that companies not issue quarterly EPS guidance. Only 20 percent of intrinsic investors surveyed by McKinsey and the Aspen Institute said they would see a company's announced intention to discontinue earnings guidance one year from the announcement as a "yellow flag."¹³ In a survey by the Rivel Research Group's Intelligence Council, just 7 percent of investors said that they want companies to offer guidance on any metrics at all (financial and operational) for periods less than one year.¹⁴

An Alternative to Earnings Guidance

As an alternative, we believe executives will gain advantages from providing guidance on the real short-, medium-, and long-term value drivers of their businesses, providing ranges rather than point estimates. For example, some companies provide target ranges for returns on capital. Other companies provide a range of possibilities for revenue growth under a variety of assumptions about inflation, and they discuss the growth of individual business units when that matters. Some companies also provide information on value drivers that can help investors assess the sustainability of growth. Humana, for example, provides guidance on estimated membership in its health plans, including plans whose membership the company expects will decline.

The value drivers a business chooses to publicize will depend on the unique characteristics of the business. For example, a leading project-based company provides details on the performance of individual current projects, plus the timing and expected returns of potential projects. One European company provides investors with a tax estimation tool, which uses the investors' assessments of regional growth rates to provide a best guess on the tax rates the company will face.

Ideally, a company would provide the kind of information that would help investors make their own projections of the company's performance based on their assessment of external factors. For example, in resource industries, prices are volatile for extracted commodities such as gold, copper, or oil. For such companies, a management team's view on future prices is not necessarily better than that of their investors. Investors would therefore find production targets more useful than revenue targets in these industries. Similarly, exchange

¹³ Darr and Koller, "How to Build an Alliance."

¹⁴ "Evolving Guidance Preferences: Attitudes and Practices of the Global Buy Side," Intelligence Council, Rivel Research Group, September 2017.

rates are unpredictable, yet they can affect the profits of multinationals by 5 percent or more in a given year. Companies should therefore avoid predicting exchange rates and locking them into EPS targets. Rather, they should discuss their targets at constant currency rates. This would give investors a much clearer picture of expected performance.

MEETING CONSENSUS EARNINGS FORECASTS

Whether or not a company provides guidance, there will be an analyst consensus earnings forecast to meet or beat.¹⁵ The conventional wisdom, mistaken though it is, is that missing the consensus earnings forecast, even by a small amount, means that your share price will drop. A striking example: in early 2005, when eBay reported that it had missed the fourth-quarter 2004 consensus estimate by just one penny, its share price plunged 22 percent. Conversely, many executives believe that consistently beating the consensus leads to a premium share price. Thus, a common reason given for choosing to provide earnings guidance is to influence the consensus.

Besides trying to influence the consensus, executives often go to some lengths to meet or beat consensus estimates—even acting in ways that could damage the longer-term health of the business. It's not uncommon, for example, for companies to offer customers steep discounts in the final days of a reporting period in order to stoke sales numbers, in effect borrowing from the next quarter's sales. As other researchers have shown, executives may forgo value-creating investments in favor of short-term results,¹⁶ or they might manipulate earnings inappropriately to create the illusion of stability.

Yet our analysis of large U.S. companies shows that these fears are unfounded.¹⁷ In the near term, falling short of consensus earnings estimates is seldom catastrophic. Even consistently beating or meeting consensus estimates over several years does not matter, once differences in companies' growth and operating performance are considered. In fact, a company's performance relative to consensus earnings seems to matter only when the company consistently misses earnings estimates over several years.

This doesn't mean that companies should ignore consensus estimates, which can hint at what is on investors' minds and why. For example, how does the industry growth outlook of investors compare with that of executives? The consensus can also be used to assess how well analysts and

¹⁵ The section is adapted from T. Koller, R. Raj, and A. Saxena, "Avoiding the Consensus Earnings Trap," *McKinsey on Finance*, no. 45 (Winter 2013).

¹⁶ J. R. Graham, C. Harvey, and S. Rajgopal, "Value Destruction and Financial Reporting Decisions," *Financial Analysts Journal* 62 (2006): 27–39, which found that a majority of CFOs would "avoid initiating a positive NPV project if it meant falling short of the current quarter's consensus earnings."

¹⁷ This conclusion is based on analysis of the largest U.S.-based nonfinancial companies with a December 31 fiscal year-end, a sample of 266 companies.

investors understand the drivers of a company's performance. Our findings demonstrate that when investors are valuing a company, they consider more indicators of financial health than just whether the company meets its consensus earnings estimates. Thus, companies need not go to extremes to meet or beat analysts' expectations if it means damaging the long-term prospects of the company.

When Companies Fall Short

Most executives haven't personally experienced many catastrophic drops in share price after minor earnings misses, so they conclude that such misses are rare. The mechanics of earnings estimates lend some support to that perception. After all, analysts' estimates typically are overly optimistic at the beginning of the financial year, but by the third quarter, it's reasonable to expect them to fall roughly in line with the eventual reported earnings—a pattern borne out by previous research.¹⁸ According to standard practice, a company has beaten the consensus estimate if its actual earnings are greater than the last available estimate for the year (almost always projected after the year is over). Consequently, one would expect analyst estimates at that stage to be accurate. Moreover, executives tend to focus on dramatic press accounts of earnings mishaps that are among the most extreme outliers, as in the eBay example where barely missing the consensus forecast led to a sharp drop in share prices.

In fact, falling short is common, and the effect is benign. More than 40 percent of companies generate earnings below consensus estimates, whether those estimates are compiled an entire year or just three days before an earnings announcement. Although some academics have documented a correlation between the change in a company's share price before and after the announcement of earnings and the degree to which it meets the consensus earnings estimate, the size of the effect is small. Indeed, our analysis suggests that missing the consensus by 1 percent would lead to a share price decrease of only 0.2 percent in the five days after the announcement. In other words, missing the consensus estimate by a penny or so usually doesn't matter (despite the unusual case of eBay).

Executives concerned about their company's performance relative to consensus estimates should also consider that 40 percent of companies that saw their earnings miss the consensus estimate also saw their share price, adjusted for the market, move in the opposite direction. For example, when PPG Industries, a global supplier of paints, coatings, and chemicals, announced earnings for 2010 that were 4 percent below the consensus, the market reacted positively with an excess return of 7 percent. Why? On digging deeper, investors

¹⁸ M. Goedhart, B. Russell, and Z. Williams, "Prophets and Profits" *McKinsey on Finance*, no. 2 (Autumn 2001): 11–14.

saw that the long-term outlook had improved. Sales were stronger than expected in nearly all business segments. The CEO also announced some investment initiatives that investors viewed as having the potential to create value in the longer term.

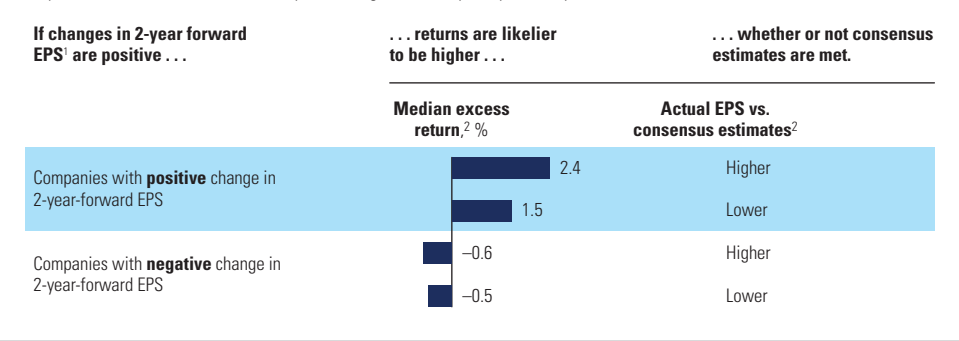
When Companies Meet or Beat the Consensus Forecast

Similarly, meeting or exceeding the consensus estimate is less important than how the earnings were reached. That’s because investors are continually assessing other news, such as whether the company met the consensus estimate for revenues as well as earnings. When North American brewing company Molson Coors beat the consensus estimate by 2 percent in 2010, the market nevertheless reacted negatively, with an excess return of –7 percent. Investors saw that the company’s sales volume had declined by 2 percent and that margins also were down; the company beat the consensus only because of a lower-than-expected tax rate. The market reacted to the fundamental drivers of performance—volume and margin—rather than EPS itself.

Investors are also able to see through cases where one-off items are responsible for meeting the consensus estimate. Meanwhile, earnings announcements themselves often include information that helps investors reassess a company’s long-term performance outlook. Our research has shown that the market reaction at the time of an earnings announcement is influenced more by changes in analysts’ expectations for longer-term earnings than by whether the most recent results met the consensus estimate. A company might fall short of current-year earnings estimates and still see its share price increase if analysts revised their earnings estimates upward for the next two years (see Exhibit 34.5).

EXHIBIT 34.5 Impact of EPS vs. Earnings Surprise

Analysis of 590 announcements of fiscal-year earnings for 2007 by European companies



¹ Earnings per share.

² Excess return over market return.

³ Sample size: positive and lower = 127, positive and higher = 203, negative and lower =118, negative and higher = 142.

EXHIBIT 34.6 **Fundamentals vs. Consensus Estimates**

Median excess return vs. sector return, ¹ 2005–2011, %				
	High growth + high ROIC ³	High growth + low ROIC ³	Low growth + high ROIC ³	Low growth + low ROIC ³
Consistently beating ²	4	3	0	–2
Inconsistent ²	2	0	0	–3
Consistently missing ²	0	–5	–5	–6

¹ Company's total shareholder returns (TSR) minus median TSR of the sector. Sample size is 243 nonfinancial S&P 500 companies with December fiscal year-end.

² Difference between actual earnings per share and consensus estimate 30 days prior to earnings announcement. "Consistently beating" defined as beating expectations by >2% at least 4 out of 7 years, 2005–2011. "Consistently missing" defined as missing expectations by >2% at least 4 out of 7 years. Companies consistently meeting expectations (by +/– 2% at least 4 out of 7 years) are not shown due to small sample size.

³ ROIC = return on invested capital (2005–2011); growth = compound annual growth rate of revenue (2004–2011). Companies categorized as high ROIC or high growth exceeded the absolute reference points of 15% for ROIC and 7% for growth or the median of the respective sector in the sample.

Source: Standard & Poor's Capital IQ.

Just as critical, the notion that markets reward companies with higher share prices when they consistently beat the earnings consensus turns out to be wrong. Here again, while some researchers have found this to be true, their analysis doesn't take into consideration the underlying performance of companies as measured by revenue growth and return on capital.¹⁹ Once adjusted for performance, the apparent effect of beating the consensus consistently (which we define as four or more years out of seven) disappears. Companies with strong growth or ROIC had high shareholder returns regardless of whether they consistently beat the consensus. Only the companies that missed it consistently—again, in four years out of seven—showed a statistically significant negative effect from doing so (see Exhibit 34.6).

SUMMARY

The issues surrounding investor communications will remain unresolved for some time. Traditionally, there have been two camps: those who believe you can talk up your share price and those who believe companies shouldn't

¹⁹ See, for example, R. Kasznik and M. McNichols, "Does Meeting Earnings Expectations Matter? Evidence from Analyst Forecast Revisions and Share Prices," *Journal of Accounting Research* 40, no. 3 (June 2002): 727–759.

spend much time or effort on investor communications at all, because it won't make any difference to their market value. Our view is, first, that investors can more accurately value a company if they have the right information and, second, that a market value aligned with the true value of your company is the best outcome of your investor communications strategy. Moreover, even if you do manage to talk up the stock in the short term, this is unlikely to be the best thing for the company in the long run.

You can better align your company's stock market value with its intrinsic value by applying some of the systematic approaches described in this chapter for identifying value, understanding your current and potential investors, and communicating with the sophisticated investors who ultimately drive a company's share price. These principles also can help managers use their scarce time for investor communications more efficiently and effectively.

Moreover, rather than providing precise earnings guidance or taking actions to achieve consensus earnings forecasts, managers should focus on driving return on invested capital (ROIC) and growth to create maximum value for shareholders. Managers should not be distracted from their efforts to drive ROIC and growth by any short-term price volatility—that is, any temporary deviation in their share price from its intrinsic value—because such deviations are likely to occur from time to time, even in the most efficient stock market.

REVIEW QUESTIONS

1. What is the purpose of investor communications? What do managers often believe the purpose is?
2. Why does a gap between a company's intrinsic value and its market value raise issues for the company's executives?
3. Do companies typically have a substantial gap between their market value and their intrinsic value? Give reasons for your answer.
4. What are the three objectives of investor communications?
5. How does classifying investors into segments help a company?
6. Certain agencies often categorize company shares as growth stocks or value stocks. What is the difference between growth and value stocks? Why are these labels misleading?
7. What are the key differences between intrinsic investors and traders?
8. Why is it beneficial for a company to provide more information to the investors than is required by regulators and generally accepted accounting principles?
9. What do executives believe are the benefits of issuing earnings per share guidance? Are these benefits actually realized by companies?

